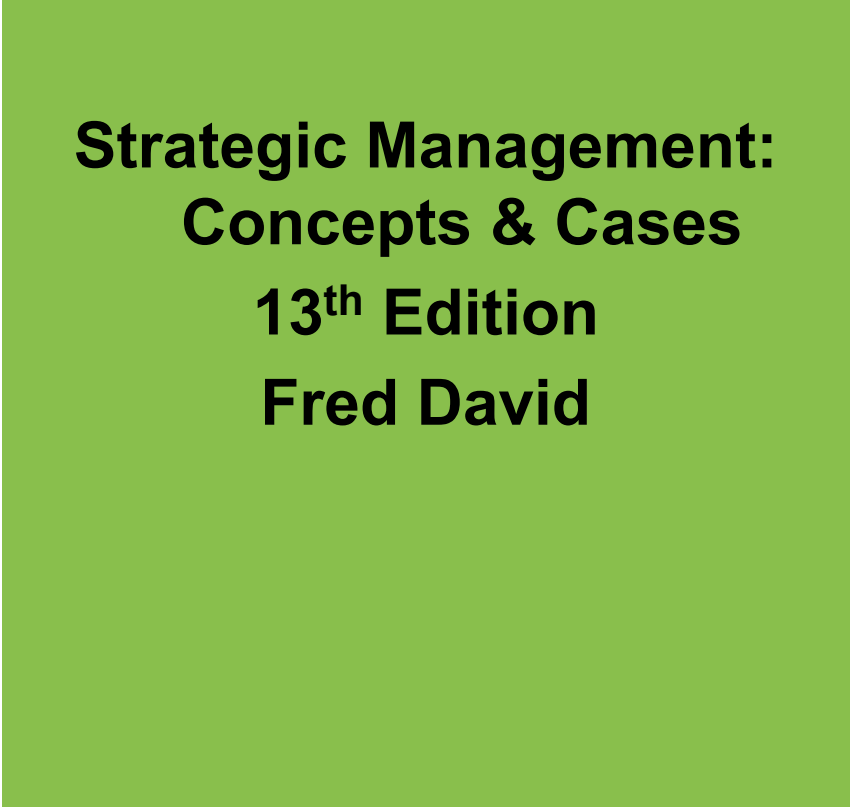

Chapter 2

The Business Vision & Mission



**Strategic Management:
Concepts & Cases
13th Edition
Fred David**

Vision

“What do we want to become?”

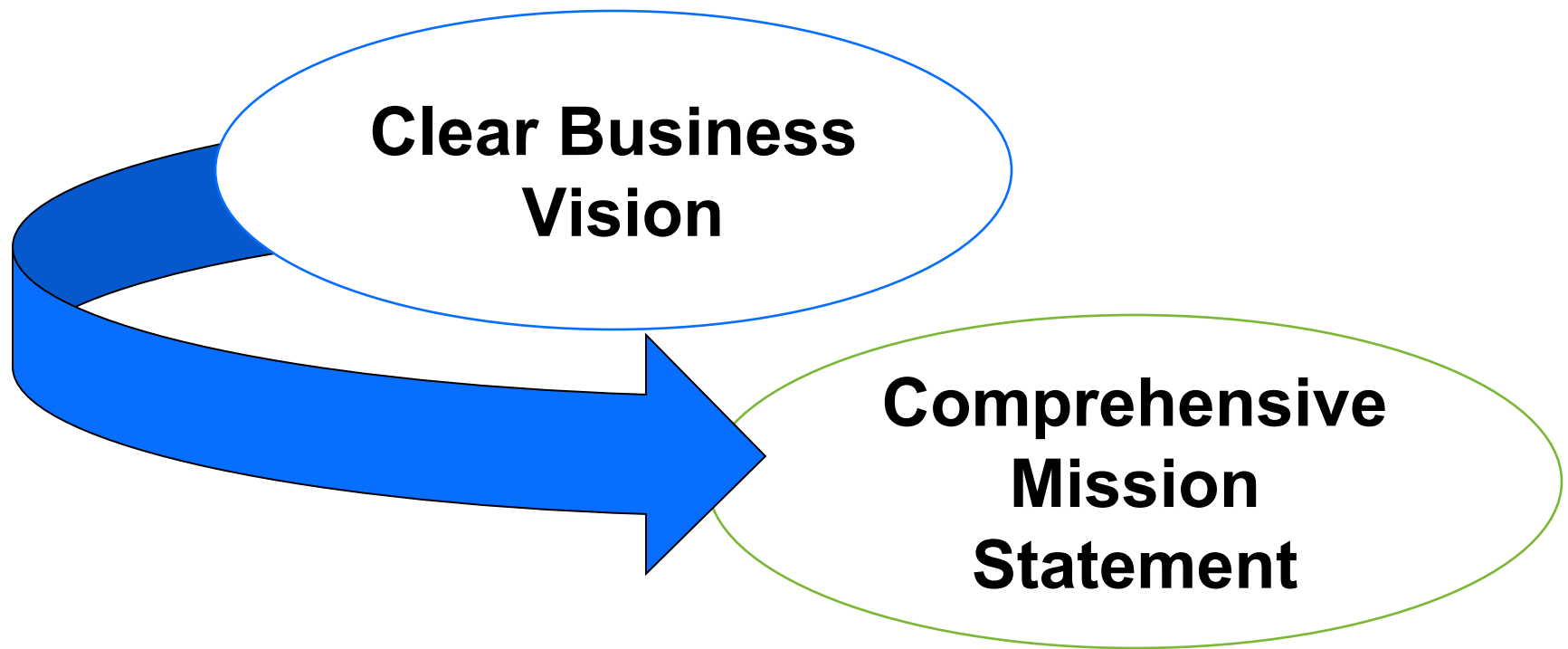


<https://www.youtube.com/watch?v=VlsgVmJ616o>

Vision Statement Examples

General Motors' vision is to be the world leader in transportation products and related services.

Vision



Mission Statement

- **Answers the question:**
 - **“What is our business?”**



Mission Statement

- An enduring statement of purpose that distinguishes one organization from other similar enterprises
- A declaration of an organization's “reason for being”

Mission Statements are also called

- Creed statement
- Statement of purpose
- Statement of philosophy
- Statement of beliefs
- Statement of business principles
- A statement “defining our business”

Mission Statements are also called

A company's business creed, or mission statement, is its commitment to achieve a particular goal, behave in a certain way or abide by a fundamental principle. A creed also might be a public definition of a company's guiding strategy.



Mission Statement Examples

Proctor & Gamble provides branded products and services of superior quality and value that improve the lives of the world's consumers. As a result, consumers reward us with industry leadership in sales, profit, and value creation, allowing our people, our shareholders, and the communities in which we live and work to prosper.

Vision & Mission

- Great benefits can be achieved if an organization
 - Systematically revisits their vision and mission statement
 - Treats them as living documents
 - Considers them to be an integral part of the firm's culture

Vision & Mission

Shared vision creates a community of interests



Developing Vision & Mission

Participation by as many managers as possible is important in developing the mission because through involvement people become committed to an organization

Steps to Developing Vision & Mission Statements

1. Have managers read related articles
2. Have managers prepare a vision and mission statement for the organization
3. Merge the documents into one and distribute
4. Gather feedback from managers
5. Meet to revise the final document

Benefits of Mission Statements

- Better financial results
- Unanimity of purpose
- Resource allocation
- Establishment of culture
- Focal point for individuals
- Establishment of work structure
- Basis of assessment and control
- Resolution of divergent views

TABLE 2-3 Ten Benefits of Having a Clear Mission and Vision

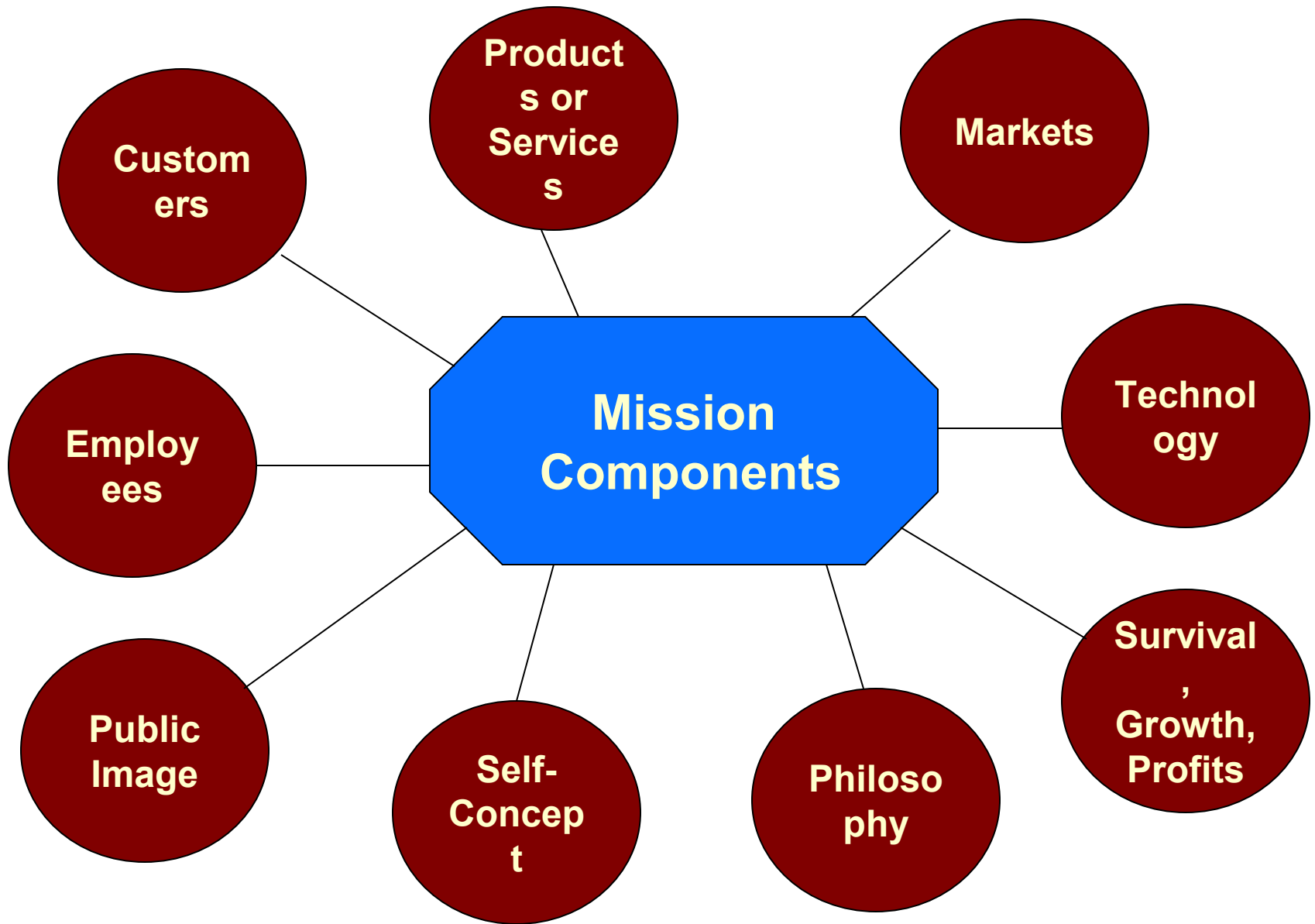
1. Achieve clarity of purpose among all managers and employees.
 2. Provide a basis for all other strategic planning activities, including the internal and external assessment, establishing objectives, developing strategies, choosing among alternative strategies, devising policies, establishing organizational structure, allocating resources, and evaluating performance.
 3. Provide direction.
 4. Provide a focal point for all stakeholders of the firm.
 5. Resolve divergent views among managers.
 6. Promote a sense of shared expectations among all managers and employees.
 7. Project a sense of worth and intent to all stakeholders.
 8. Project an organized, motivated organization worthy of support.
 9. Achieve higher organizational performance.
 10. Achieve synergy among all managers and employees.
-

Vision & Mission Statements

- Provide unity of direction
- Promote shared expectations
- Consolidate values
- Project a sense of worth and intent
- Affirm the company's commitment to responsible action

Mission & Customer Orientation

- An effective mission statement:
 - Anticipates customer needs
 - Identifies customer needs
 - Provides product/service to satisfy needs
 - Identifies the utility of a firm's products to its customers



1. *Customers*—Who are the firm's customers? Example: Our customers are outdoor enthusiasts seeking fishing excitement and adventure.
2. *Products or services*—What are the firm's major products or services? Example: We provide fast, clean boats, all the bait and tackle needed, and friendly first mates to create memories for a lifetime.
3. *Markets*—Geographically, where does the firm compete? Example: Our fleet of fast, clean vessels operate all along the Florida Gulf Coast.
4. *Technology*—Is the firm technologically current? Example: Our vessels are equipped with the very latest safety and fish finding equipment to insure that customers comfortably are "catching rather than just fishing."
5. *Concern for survival, growth, and profitability*—Is the firm committed to growth and financial soundness? Excellent: Our prices are as low as possible to provide customers great value in conjunction with high employee morale and a reasonable return for our owners.
6. *Philosophy*—What are the basic beliefs, values, aspirations, and ethical priorities of the firm? Example: We assure customers the upmost courtesy and care as our motto on every vessel is to follow the Golden Rule.
7. *Self-concept*—What is the firm's distinctive competence or major competitive advantage? Example: For customer enjoyment and safety, we provide the most experienced staff in the industry.
8. *Concern for public image*—Is the firm responsive to social, community, and environmental concerns? Excellent: Our vessels use emission-friendly engines; we strive to bring repeat tourists to all communities where we operate.
- 9. *Concern for employees*—Are employees a valuable asset of the firm? Example: Our on-the-water and off-the-water employees are "on a mission" to help customers have a great time.

Nine customer perspective components

7. *Self-concept*—What is the firm's distinctive competence or major competitive advantage? Example: For customer enjoyment and safety, we provide the most experienced staff in the industry.
 8. *Concern for public image*—Is the firm responsive to social, community, and environmental concerns? Excellent: Our vessels use emission-friendly engines; we strive to bring repeat tourists to all communities where we operate.
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-

A critique of existing statements

We always provide service with a friendly greeting and a smile.(7)

We anticipate the needs of our customers.

We make all efforts to exceed our customers' expectations.

We take ownership of any problem that is brought to our attention.

We engage in conduct that enhances our corporate reputation and employee morale.(9)

We are committed to act in the highest ethical manner and respect the rights and dignity of others.(6)

We are loyal to Royal Caribbean and Celebrity and strive for continuous improvement in everything we do.

from <http://www.rclcorporate.com/investors/overview/mission-and-vision/>

TABLE 2-4 Characteristics of a Mission Statement

- Broad in scope; do not include monetary amounts, numbers, percentages, ratios, or objectives
- Less than 250 words in length
- Inspiring
- Identify the utility of a firm's products
- Reveal that the firm is socially responsible
- Reveal that the firm is environmentally responsible
- Include nine components
 - customers, products or services, markets, technology, concern for survival/growth/
 - profits, philosophy, self-concept, concern for public image, concern for employees
- Reconciliatory Enduring

We aspire to make PepsiCo the world's premier consumer products company, focused on convenient foods and beverages. We seek to produce healthy financial rewards for investors and provide opportunities for growth and enrichment to our employees, our business partners and the communities in which we operate. And in everything we do, we strive to act with honesty, openness, fairness and integrity.

Dell's mission is to be the most successful computer company in the world at delivering the best customer experience in markets we serve. In doing so, Dell will meet consumer expectations of highest quality; leading technology; competitive pricing; individual and company accountability; best-in-class service and support; flexible customization capability; superior corporate citizenship; financial stability

Dell, Inc. - Dell's mission is to be the most successful computer company (2) in the world (3) at delivering the best customer experience in markets we serve. In doing so, Dell will meet customer expectations of highest quality; leading technology (4); competitive pricing; individual and company accountability (6); best-in-class service and support (7); flexible customization capability (7); superior corporate citizenship (8); financial stability (5). *(Author comment: Statement lacks two components: Customers (1), Concern for Employees (9); 56 words)*